

India's AI Governance Guidelines: A Policy Analysis

Internship Report

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Introduction

India's AI governance guidelines present a pragmatic framework designed for promoting AI usage and development in the context of rapid technological growth across the world (MeitY). In my opinion, the guidelines objectively prioritise India's unique technological needs—applying digital public infrastructure like Aadhaar and UPI for widely accessible and scalable applications of AI in healthcare, agriculture and education—instead of using foreign models that might inhibit AI's potential impact (MeitY). The central ideas of the guidelines are seven “sutras” or rules: trust as the foundation, people first, innovation over restraint, fairness and equity, accountability, understandable by design and safety, resilience & sustainability. These create a balance between fostering economic growth towards a Viksit Bharat 2047 while also addressing key risks like deepfakes via voluntary measures and institutional coordination (MeitY). However, this primary voluntary approach seems like it may be ineffective in that it allows uneven adoption in the competitive global landscape where other jurisdictions like the EU enforce stricter accountability (Janardhan et al.).

Institutional Framework

The guidelines have a pragmatic six-pillar structure, which spans infrastructural improvements (such as IndiaAI mission's 38,000+ subsidized GPUs and AIKosh datasets) and training programs for government workers, officials and MSMEs to understand AI technologies and ensure the responsible deployment of AI in public services (MeitY). This approach avoids the issues associated with an overly restrictive standalone AI law, and in-

stead strengthens existing sectoral regulators like RBI and SEBI, while creating dedicated bodies like the AI Governance Group (AIGG) and AI Safety Institute (AISI). The AIGG is meant to sit above individual ministries and coordinate risk frameworks and adoption across all of them, while the AISI's job is closer to testing high-risk systems before they ever reach the public, not unlike how the UK and US versions of an AI Safety Institute operate (MeitY). In my opinion, integrating AI with digital public infrastructure is essential to enabling low-cost, multilingual tools that could bridge urban-rural divides which are far more feasible than abstract principles alone. The action plan (part 3) methodically translates the six pillar structure into a three phase roadmap—short term (AIGG setup, risk frameworks, voluntary commitments), medium-term (sandboxes, DPI integration, standards) and long term (legislative amendments/reviews)—coordinating ‘whole-of-government’ execution (MeitY). Still, relying on the self-regulation of industries for transparency reports is too optimistic. A large firm can afford a compliance team that puts out a transparency report every quarter without much strain, but a small AI startup serving one sector often can't, so in practice this framework ends up measuring transparency wherever it was already easiest to get, not necessarily where the actual risk sits (Sheikh).

Comparative Analysis

In comparison with global counterparts, India's guidelines meaningfully overlap yet carve a distinctive path better suited to the Global South. They are similar to the US NIST framework's voluntary risk management and

the OECD's emphasis on fairness and human oversight yet contrast the EU AI Act's tiered prohibitions and fines that could indirectly stifle India's vital startup ecosystem (Janardhan et al.; The National Law Review). The EU sorts systems into unacceptable, high, and limited risk tiers, and a violation at the top tier can cost a company up to 7% of its global turnover, a number steep enough that some startups are reportedly rethinking whether to operate in the EU at all (Janardhan et al.; The National Law Review). India's regulator-led flexibility, unlike China's security-focused licensing, better supports diversity of application while aligning on value-chain accountability (AIGN). China requires generative AI providers to secure a license before public release and to keep outputs aligned with state content rules, a level of upfront control that India's guidelines deliberately steer away from (AIGN). I think this is a subtle niche: its focus on India-specific risks like linguistic biases addresses Western model gaps, potentially making India an "AI garage" for ethical, scalable solutions (Guven). Still, the lack of EU style mandatory regulations for high-risk systems raises trust concerns in sectors like finance where algorithmic decisions impact millions daily.

Regulatory Gaps

Regulatory Gaps The guidelines rely on existing laws like the IT Act, DPDP Act, and Bharatiya Nyaya Sanhita to deal with harms like deepfakes and data misuse, but gray areas remain where these laws just weren't written with AI in mind (MeitY; Krishna). The policy recommendations call for updating the IT Act to clearly classify AI actors as developers or deployers and set graded liability based on risk level, along with DPDP tweaks for model training exemptions and data portability (MeitY). One example I think shows real foresight: flagging how AI-powered ultrasound and diagnostic tools could be used to get around the PC-PNDT Act's ban on sex selection, a risk specific

to India that a generic AI law would probably miss. Still, enforcing this consistently across 20+ ministries is a real problem. Each ministry can read its own slice of the guidelines differently, and since no single body owns enforcement end to end, a company could satisfy one regulator while falling short of another's expectations entirely. Risk mitigation here centers on India-specific assessments built on real-world harm data, voluntary tools like watermarks and bias checks, and extra duties for sensitive or vulnerable applications. The framework rejects blanket bans altogether, betting that India's 1.4 billion people need context-specific solutions more than generalised rules (MeitY). Part 4 lays out what's expected of each side: industry has to follow the law, publish transparency reports, adopt voluntary commitments, and use safety tools, while regulators are told to support innovation, avoid heavy-handed rules, and review the framework periodically (MeitY). On the industry side, this means things like setting up accessible grievance mechanisms for AI-related harms, adding content provenance markers to generative outputs, and running internal bias checks before anything goes live. For regulators, it means building sandboxes with legal immunities for high-risk testing, developing AI toolkits tailored to MSME sectors like textiles, retail, and logistics, and setting up technical working groups to help standards keep pace. Gaps still show up in mandatory high-risk obligations and cross-ministry coordination, which risks fragmenting the whole approach (Krishna; Janardhan et al.). And the lack of clear liability for AI value chain actors, especially generative AI losing its IT Act Section 79 protections, could end up scaring off investment.

Recommendations

I believe that fast IT amendments for liability clarity should be implemented, alongside AISI (AI Safety Institute) led sandboxes for testing, and MSME support via SIDBI loans, Mudra fi-

nancing and tax rebates for certified AI solutions (Sheikh; MeitY). Mandating incident reporting and child protection measures is key to building public trust (Guven). Globally, India should export DPI-AI integration standards and multilingual evaluation datasets to pioneer Global South coordination at forums like AI Impact Summit 2026 (AIGN). These targeted steps would undoubtedly strengthen the effectiveness of these frameworks while preserving their innovation-first mission—positioning India as a Global-South AI leader.

References

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